Ignitis grupė

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: S&P BBB+ (stable), 2026-07-28; Moody's Baa1 (stable), 2026[1]
Next report: Q3 2026 interim report - 2026-11-11[2]

Position OK. Credit quality is stable: BBB+ / Baa1 ratings and leverage of 3.49x, inside the 3-4x target[3,1]. Profit is weaker, but the 2026 guidance was kept[4]. The held bond XS1646530565 is subject to the issuer's tender offer of 2026-10-19[5].

Adjusted EBITDA (6M2026)	Adjusted net profit (6M2026)	Net debt (6M2026)	Net debt / EBITDA (6M2026)
306.6 EUR m	**115.8 EUR m**	**1,925.3 EUR m**	**3.49x**
▲ 1.9 % vs 6M2025	▼ 20.8 % vs 6M2025	▲ 19.6 % vs 6M2025	▲ 0.5x vs 6M2025

Quick summary

- **Earnings on track:** 6M Adjusted EBITDA was EUR 306.6m, up 1.9%. Networks and Customers & Solutions grew; Green Capacities fell to EUR 149.2m from 166.6m[6]. The 2026 guidance of EUR 550-600m was kept, and about half of it is already reached (51-56%)[4].
- **Debt under control:** net debt EUR 1,925.3m, almost unchanged since year-end (+0.7%). Leverage is 3.49x net debt / EBITDA. One metric lags: FFO / net debt 22.2% against a target of at least 23%[3,7].
- **Ratings stable:** S&P BBB+ (stable, confirmed 2026-07-28) and Moody's Baa1 (stable, first rating in 2026)[1].
- **Decision needed on a held bond:** on 2026-10-19 Ignitis offered to buy back XS1646530565 (2.000%, matures 2027-07-14). The buy-back is financed by a new EUR 300m green bond at 4.500% due 2031[5,8].
- **Profit is the weak spot:** adjusted net profit fell 20.8% to EUR 115.8m. Return on capital (Adjusted ROCE, LTM) dropped to 6.7% from 8.6%[9].

Instruments held and ISINs

ISIN	Instrument	Coupon	Maturity	Note
LT0000115768	Ignitis grupė ordinary share (IGN1L)	–	share	
XS1646530565	Ignitis 2.000% green notes 2027	2.000%	2027-07-14	Tender offer for any and all notes announced 2026-10-19 (refinanced by new EuGB 4.500% 2031)
XS1853999313	Ignitis 1.875% green notes 2028	1.875%	2028-07-10	
XS2177349912	Ignitis 2.000% notes 2030	2.000%	2030-05-21	

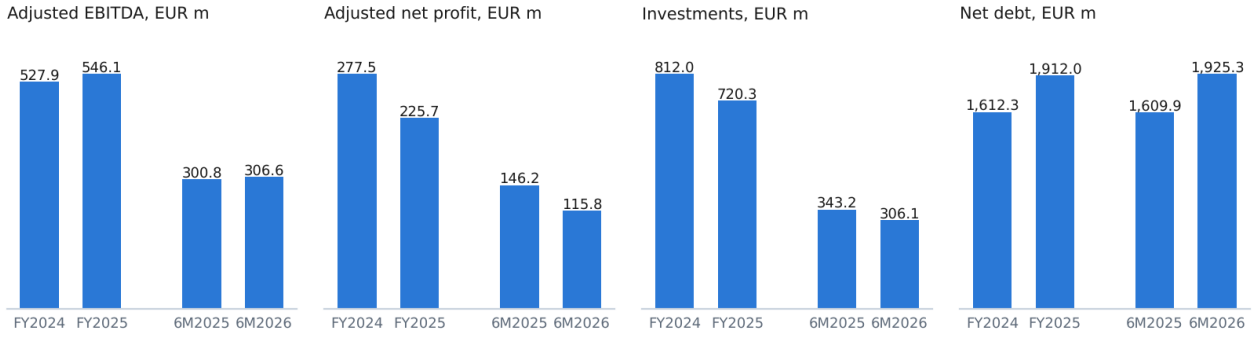
Key ratios

Metric	FY2024	FY2025	6M2025	6M2026	Change
Revenue, EUR m[10]	–	–	1,298.0*	1,497.5*	**▲ 15.4 % vs 6M2025**
Adjusted EBITDA, EUR m[11,12,9]	527.9	546.1	300.8	306.6	**▲ 1.9 % vs 6M2025**
EBITDA, EUR m[11,9]	532.7	482.1	262.5	303.5	**▲ 15.6 % vs 6M2025**
Adjusted net profit, EUR m[11,12,9]	277.5	225.7	146.2	115.8	**▼ 20.8 % vs 6M2025**
Net profit, EUR m[11,10]	276.2	163.9	111.4*	113.2*	**▲ 1.6 % vs 6M2025**
Investments, EUR m[11,12,9]	812.0	720.3	343.2	306.1	▼ 10.8 % vs 6M2025
FFO, EUR m[13]	–	–	225.9*	251.4*	**▲ 11.3 % vs 6M2025**

Metric	FY2024	FY2025	6M2025	6M2026	Change
Free cash flow, EUR m[13]	–	–	64.0*	5.3*	▼ 91.7 % vs 6M2025
Net debt, EUR m[11,3,14]	1,612.3	1,912.0	1,609.9	1,925.3	▲ 19.6 % vs 6M2025
Net debt / EBITDA[11,3,14]	3.05x	3.50x	2.99x	**3.49x**	▲ 0.5x vs 6M2025
FFO / net debt[11,3,14]	29.7%	21.0%	29.8%	**22.2%**	▼ 7.6 p. p. vs 6M2025
Adjusted ROCE[11,15,9]	9.0%	7.5%	8.6%	**6.7%**	▼ 1.9 p. p. vs 6M2025
Equity, EUR m[14,16]	2,436.8	2,494.7	2,492.0	2,636.1*	▲ 5.8 % vs 6M2025
Total assets, EUR m[14,16]	5,706.0	6,278.9*	5,897.3	6,339.2*	▲ 7.5 % vs 6M2025
Dividend per share, EUR[17,12,18]	1.33	1.366	0.683	0.704	▲ 3.1 % vs 6M2025
Installed green capacity, GW[12,19,9]	1.4	2.1	1.75	2.1	▲ 20.0 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – verify in the original; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- **Networks:** investments EUR 208.3m (+26.1%), 68% of total; segment Adjusted EBITDA EUR 147.3m (132.6m)[20].
- **Green Capacities:** 2.1 GW installed, 0.6 GW under construction (0.7 GW after the Tume BESS FID), 3.4 GW secured[21]. EBITDA declined due to weaker wind in Q1-Q2 and a lower hedge price (EUR 130 → 82/MWh)[22].
- **Reserve Capacities:** Adjusted EBITDA EUR 17.9m (29.1m, −38%); the balancing market is becoming more competitive[6,22].
- **Customers & Solutions:** EBITDA EUR 0.2m (−27.7m); supported by higher volumes in a cold winter and one-off gas wholesale deals in Q1[4]. Prosumer impact c. EUR −30m EBITDA in 2025, expected somewhat higher in 2026, 60-70% to be covered by new legislation[22].
- **Projects and deals:** 49% of Vilnius CHP sold (Quaero Capital, March 2026); 399 MW / 798 MWh of BESS under construction; Kruonis PSHP unit 5 ~80% complete; data-centre partner search launched 2026-08-11[23,4].
- **Safety:** a contractor employee was fatally injured in February 2026[24].

Financials

- 6M revenue EUR 1,497.5m (+15.4%), EBITDA EUR 303.5m (262.5m), net profit EUR 113.2m (111.4m)[25].
- FFO EUR 251.4m (+11.3%), free cash flow EUR 5.3m (64.0m); investments EUR 306.1m (343.2m, −10.8%)[26].
- **FY2025:** Adjusted EBITDA EUR 546.1m (+3.4%), adjusted net profit EUR 225.7m (−18.7%), net debt up 18.6% to EUR 1,912.0m, FFO / net debt 21.0% (29.7% in 2024)[11,12].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
2026 Adjusted EBITDA EUR 550-600m (set 2026-02-25)	6M: EUR 306.6m; guidance reiterated 2026-08-12[12,4]	On track: 6M covers 51-56% of the range. Networks and Customers & Solutions grew; Green Capacities fell on weaker wind and a lower hedge price[6,22].	**In progress**
2026 investments EUR 590-690m	6M: EUR 306.1m (44-52% of the range)[12,27]	On track: 6M investments EUR 306.1m (−10.8% y/y); 68% went to Networks[27].	**In progress**
Strategy 2025-2028: investments EUR 3.0-4.0bn, 2028 Adjusted EBITDA EUR 600-680m	New strategy 2026-2029: investments EUR 2.5-3.0bn, 2029 EBITDA EUR 640-700m (investment envelope reduced)[28,7]	Changed: the new 2026-2029 plan cuts the investment envelope to EUR 2.5-3.0bn and raises the EBITDA target to EUR 640-700m for 2029. Reason: not stated in the sources reviewed[7].	**Revised**
FFO / net debt ≥23% (2026-2029)	YE2025: 21.0%; 30 Jun 2026 (LTM): 22.2%[7,3]	Improving but still below target: 21.0% → 22.2% as FFO grew 11.3% while net debt stayed flat (+0.7%)[29].	**Not met**
Net debt / Adjusted EBITDA 3-4x; rating BBB or above	3.49x; S&P BBB+, Moody's Baa1[7,3,1]	Met: leverage 3.49x, in the middle of the range; net debt +0.7% since YE2025; ratings stable[3,1].	**Met**
Dividend per share growth ≥3% a year	2025: EUR 1.366 (+3.0%); H1 2026: EUR 0.704 (+3.1%)[7,12,4]	Met: +3.0% for 2025 and +3.1% for H1 2026, although adjusted profit fell 20.8% and free cash flow (EUR 5.3m) does not cover the dividend[13,4].	**Met**
Green capacity 2.8-3.2 GW by 2029	2.1 GW installed, 0.7 GW under construction[7,30]	Progressing: 2.1 GW installed + 0.7 GW under construction = 2.8 GW, the bottom of the target range (calculated by the tool)[30].	**In progress**

Investor information & conclusions

- **Instruments held:** shares (IGN1L) and three bonds (2027, 2028, 2030). The bonds are senior unsecured and carry the issuer rating of BBB+ (S&P)[5].
- **For bondholders:** leverage (3.49x) is within the strategic 3-4x range and ratings are stable; FFO / net debt (22.2%) is still below the ≥23% target. Investment is mostly in regulated networks[31,7,1].
- **XS1646530565:** the 2026-10-19 tender offer requires a decision (tender or hold to 2027-07-14). Terms and deadline are in the issuer's Tender Offer Launch Announcement[5].
- **For shareholders:** H1 dividend EUR 0.704 (+3.1%), while adjusted profit is declining (−20.8%). Free cash flow EUR 5.3m - investment and dividends are partly debt-funded[13,4].
- **Conclusion:** financial position broadly unchanged versus year-end 2025; credit metrics within strategic limits, ratings stable. Watch: 9M report (2026-11-11), wind and price effects on Green Capacities, FFO / net debt returning to ≥23%.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- No weapons, tobacco or gambling.
- No coal generation and no oil & gas exploration[17].
- Owns the gas-fired Elektrėnai complex (reserve capacity) and supplies gas - not restricted by the SEB fossil fuel policy (restricts coal >5% of revenue and new exploration).

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No red flags (UNGC / OECD breaches) found in public sources and the news scan (2026-10-22).

- Ignitis states it upholds the UN Global Compact principles[17].

☐ Yes, the company is not in the list of sanctions (add a screenshot)

Needs review

- Automatic check against the EU, UN, US OFAC and UK consolidated sanctions lists.

☑ Yes, issues were not identified from adverse media checks (add a screenshot)

- No adverse news found in the automatic news scan (Lithuanian, Latvian, Estonian and English media, last 30 days, 2026-10-22).

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

- Core activities are green generation (2.1 GW installed, 0.6 GW under construction) and power networks[9]
- Green bonds and a new EU Green Bond Standard (EuGB) bond[8].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

- EU Taxonomy-aligned capex 84.7% in 2025[17].
- SBTi-validated targets in line with 1.5°C
- Net zero by 2050 or sooner[32].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

No material yellow flag

- No UN Global Compact related controversies found.

To note

- A contractor employee was fatally injured in February 2026[24]
- Scope 1 emissions rose 54.7% in 2025 due to higher gas generation[17].
- Safety is managed under ISO 45001[33].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable

- The SEB Investments policy[34], the Electricity & Renewable Energy policy, since green generation and networks make up more than 15% of revenue[35], and the Fossil Fuels policy for gas distribution, gas supply and the Elektrėnai reserve plants.
- The gas revenue share was not found[36,37].

Requirements met

- Scope 1-3 emissions disclosed (4.49m t CO2e in 2025) and SBTi-validated 1.5°C targets[38]
- ISO 14001 environmental management at ESO, Ignitis gamyba, Ignitis and the Vilnius and Kaunas CHPs[33].
- No coal, peat or oil & gas extraction[17].

Expectations met

- ISO 45001 safety management, no fatal accidents in 2025[39,33]
- Trust line for anonymous reports[40]
- Anti-corruption policy and ISO 37001 certification[33,40]
- UN Global Compact[41]
- Integrated annual report with climate data[17]
- Biodiversity monitoring and mitigation measures[42].

Could be improved

- No named human rights due diligence process or quantified biodiversity targets are published[43].

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?

- No need: the company meets SEB policy expectations and has no red flags.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Total GHG emissions 4.49m t CO2e in 2025 (+10.1%)[17]
- Carbon intensity (Scope 1+2) 214 g CO2e/kWh in Q1 2026 (−12.8%)[24]
- Taxonomy-aligned capex 84.7%[17]
- SBTi-validated 1.5°C targets[44].

Additional comments:

Conclusion: No exclusions or red flags. Strong green profile: 84.7% Taxonomy-aligned capex and SBTi-validated targets. Worth watching: higher gas generation in 2025 and contractor safety.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Electricity & Renewable Energy sector policy; Fossil Fuels sector policy (coal, oil & gas, peat); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

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8. Press release: inaugural EUR 300m 5-year EuGB bonds priced, 2026-10-20
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30. Ignitis Group - First six months 2026 interim report, p. 17, 2026-08-12
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35. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), p. 6, 2026-04-23
36. Integrated Annual Report 2025, p. 24, 39, 2026-02-25
37. SEB Sector Policy on Fossil Fuels (2026-04-23), p. 4, 6, 2026-04-23
38. Integrated Annual Report 2025, p. 8-9, 15, 2026-02-25
39. Integrated Annual Report 2025, p. 16, 2026-02-25
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41. Integrated Annual Report 2025, p. 8, 2026-02-25
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Items marked for review must be checked by the analyst before use.